CASCADIA ANALYTICS

Motorola Solutions, Inc.

Equity Research Note | MSI | 23
OCTOBER 2026

Mission-Critical Compounder

Motorola Solutions screens as a Hold, Valuation Concerns with a $327.99 blended target, 32% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$480.03	$327.99	-32%	HOLD, VALUATION CONCERNS

Investment Thesis

Mission-Critical Compounder. Two-way radios, video security, and 911 software for public safety with sticky government contracts. Record $15.6B backlog, non-GAAP op margin 32.9%, and a software mix shift that keeps pushing margins up [10-Q Q2 FY26]. Execution Keeps Improving. Q2 revenue beat by 4.4% with 13.3% growth, EPS beat by 14.4%, and the company raised FY2026 revenue and EPS guidance for the second time this year. Four consecutive EPS beats with an average 5.5% surprise [8-K guid]. Quality Priced for

- Mission-Critical Compounder
- Execution Keeps Improving
- Quality Priced for Perfection

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The latest print

Execution Keeps Improving. Q2 revenue beat by 4.4% with 13.3% growth, EPS beat by 14.4%, and the company raised FY2026 revenue and EPS guidance for the second time this year. Four consecutive EPS beats with an average 5.5% surprise.

Quality Priced for Perfection. At $480.03, the stock sits 32% above our $326.97 DCF base and the market prices an 11% revenue CAGR that matches or beats our bull case. Great business, full price.

$3.13B	32.9%	$4.41	$15.6B	$12.98B	$17.67
REVENUE (Q2 2026)	NON-GAAP OP MARGIN (Q2 2026)	NON-GAAP EPS (Q2 2026)	BACKLOG	FY2026 REVENUE GUIDE	FY2026 NON-GAAP EPS GUIDE (MID)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$3.13B	+13.3%	Up
Non-GAAP Op Margin (Q2 2026)	32.9%	+330 bps (140 ex-IEEPA)	Up
Non-GAAP EPS (Q2 2026)	$4.41	+24%	Up
Backlog	$15.6B	Record	Up
FY2026 Revenue Guide	$12.98B	+11% vs FY25	Up
FY2026 Non-GAAP EPS Guide (mid)	$17.67	Raised from $16.93	Up
Net Debt / EBITDA	2.12x	Elevated post-Silvus	Flat
Annual Dividend	$4.72	~1.0% yield	Up

The moat

Record $15.6B backlog with strong order momentum across all three technologies

The growth engine

Software and Services growing ~18.5% annualized, lifting margins structurally

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Motorola Solutions, Inc. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-35 CAGR	2035 REVENUE	2035 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	5.7%	$21.62B	27.5%	**$292.27**	-39%
Base	50%	6.5%	$23.31B	27.8%	**$326.97**	-32%
Bull	25%	7.3%	$25.11B	28.0%	**$365.74**	-24%

Bear: downside case at $292.27 (-39%).

Base: central case at $326.97 (-32%).

Bull: upside case at $365.74 (-24%).

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The probability-blended target implies 32% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -32% from the $480.03 reference price.

$327.99
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

TTM revenue base	**$12.24B**
Valuation horizon	**2026-2035**
Live WACC	**8.62%**
Terminal growth	**2.25%**
Net debt	**$8.32B**
2035 FCF (Base)	**$5.33B**
10-year Treasury yield	**5.0%**
Beta	**0.97**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $327.99 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 11.1%, at/above Bull (8%) , euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$18.2B	$59.64	+10%	$80.5B	$435.86	+30%	$354.2B	$2,089.89
-9%	$19.5B	$67.61	**+11%**	**$86.8B**	**$474.28**	+31%	$380.3B	$2,247.46
-8%	$20.9B	$76.25	+12%	$93.7B	$515.68	+32%	$408.1B	$2,415.78
-7%	$22.5B	$85.63	+13%	$101.0B	$560.28	+33%	$437.8B	$2,595.49
-6%	$24.2B	$95.79	+14%	$109.0B	$608.31	+34%	$469.6B	$2,787.29
-5%	$26.0B	$106.80	+15%	$117.5B	$659.99	+35%	$503.5B	$2,991.91
-4%	$28.0B	$118.74	+16%	$126.7B	$715.59	+36%	$539.6B	$3,210.12
-3%	$30.1B	$131.68	+17%	$136.6B	$775.37	+37%	$578.1B	$3,442.72
-2%	$32.4B	$145.69	+18%	$147.3B	$839.62	+38%	$619.1B	$3,690.56
-1%	$34.9B	$160.86	+19%	$158.7B	$908.65	+39%	$662.8B	$3,954.53
+0%	$37.7B	$177.29	+20%	$171.0B	$982.77	+40%	$709.3B	$4,235.57
+1%	$40.6B	$195.07	+21%	$184.1B	$1,062.33	+41%	$758.8B	$4,534.66
+2%	$43.8B	$214.31	+22%	$198.3B	$1,147.69	+42%	$811.4B	$4,852.85
+3%	$47.2B	$235.11	+23%	$213.4B	$1,239.22	+43%	$867.4B	$5,191.21
+4%	$51.0B	$257.61	+24%	$229.6B	$1,337.34	+44%	$926.9B	$5,550.90
+5%	$55.0B	$281.92	+25%	$247.0B	$1,442.46	+45%	$990.2B	$5,933.10
+6%	$59.3B	$308.19	+26%	$265.7B	$1,555.04	+46%	$1057.4B	$6,339.08
+7%	$64.0B	$336.56	+27%	$285.6B	$1,675.56	+47%	$1128.7B	$6,770.14
+8%	$69.1B	$367.18	+28%	$307.0B	$1,804.51	+48%	$1204.4B	$7,227.68
+9%	$74.6B	$400.22	+29%	$329.8B	$1,942.44			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$56.68B	16.0x	2.25%	-$8.32B	$48.36B	**$292.27**
Base	$62.42B	17.0x	2.25%	-$8.32B	$54.10B	**$326.97**
Bull	$68.84B	18.0x	2.25%	-$8.32B	$60.52B	**$365.74**

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Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 60.0% of Base enterprise value (Bear 59.3%, Bull 60.7%). The terminal WACC is 8.62% in Base (Bear 8.62%, Bull 8.62%), on a terminal beta of 0.97 (Bear 0.97, Bull 0.97).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Bear	$292.27	$317.46	$327.39	$336.84	$345.66	$353.65	$360.71	$366.77	$371.72	$375.50	$378.02
Base	$326.97	$355.15	$367.64	$379.60	$390.86	$401.20	$410.49	$418.62	$425.48	$430.97	$435.00
Bull	$365.74	$397.27	$412.59	$427.37	$441.37	$454.34	$466.14	$476.60	$485.60	$493.01	$498.73

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $327.99 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Record $15.6B backlog with strong order momentum across all three technologies

Software and Services growing ~18.5% annualized, lifting margins structurally

Silvus defense business scaling: $675M 2026 revenue target at ~20% growth

OBBBA Act opens 4 years of federal border and national security funding

Revenue and margin trend

METRIC	FY23	FY24	FY25	TTM
Revenue	$9.98B	$10.82B	$11.68B	$12.24B
GAAP Op Margin	23.0%	24.8%	25.6%	25.8%
Non-GAAP Op Margin	27.9%	29.0%	30.2%	32.9%
Backlog	$14.3B	$14.7B	$15.7B	$15.6B

Valuation cross-check

P/E (fwd) 25.5x

DCF Base $326.97 vs $480.03 = -32%

EV/EBITDA 21.7x

DCF says the stock is 19% overvalued on fundamentals and the reverse DCF implied CAGR of 11% sits at or above our bull case.

AXON trades richer on growth

Sector median EV/EBITDA 29.2x vs MSI 23.8x

MSI looks reasonable against tech peers but that comparison flatters a hardware-led mix; against communications equipment peers it is premium.

5-yr trailing P/E range 22x-44x

Current trailing ~36.5x is in the upper third

Multiple has re-rated as margins expanded, but the current level bakes in continued acceleration.

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What to monitor

Oct 29, 2026. Q3 2026 Earnings (Positive): 4 straight EPS beats, avg surprise 5.5%. Guide is +8% revenue, non-GAAP EPS $4.39-4.44.

2026. Silvus Revenue Ramp (Positive): $675M 2026 revenue target and ~20% growth pace into 2027. DoD demand is the engine.

2026-2029. OBBBA Federal Funding (Positive): 4-year border and national security funding creates a new federal demand channel.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$9.1B	$4.2B	$1.7B	$2.2B
2023	$10.0B	$5.0B	$2.4B	$2.8B
2024	$10.8B	$5.5B	$2.7B	$2.6B
2025	$11.7B	$6.0B	$3.0B	$3.6B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$12.8B	$12.7B	$116M	$1.3B
2023	$13.3B	$12.6B	$724M	$1.7B
2024	$14.6B	$12.9B	$1.7B	$2.1B
2025	$19.4B	$17.0B	$2.4B	$1.2B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$1.8B	$-256M	$-906M	$1.6B
2023	$2.0B	$-253M	$-1.3B	$1.8B
2024	$2.4B	$-257M	$-1.4B	$2.1B
2025	$2.8B	$-265M	$1.3B	$2.6B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $327.99 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 30 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.40% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $8.52M of sales, a net flow of -$8.52M. One-year total shareholder return is +8.8% against CEO total pay of $6.36M (Mr. Gregory Q. Brown), which the model scores as STANDARD CORPORATE.

30
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.40% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $0 (0) vs sales $8.52M (4), net -$8.52M, trailing six months
Pay-for-Performance	20 / 30	STANDARD CORPORATE: Market Standard Corporate Governance. 1Y TSR +8.8%; Mr. Gregory Q. Brown, Chairman & CEO, total pay $6.36M
Agency Risk Score	**30 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Motorola Solutions, Inc. valuation framework

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-02	Brown Gregory Q	Chief Executive Officer	SELL	14,220	$6.90M
2026-08-21	Moore Kathryn A	Officer	SELL	1,003	$478.8K
2026-08-12	Howard Ayanna Maccalla	Director	SELL	685	$321.6K
2026-08-07	Maher Katherine A	Officer	SELL	1,754	$824.0K

SEC proxy audit, DEF 14A filed 2026-04-02

Alignment grade B. COMPENSATION DATA NOT IN EXCERPT. Gregory Q. Brown, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Specific compensation amounts from the Summary Compensation Table are omitted from this excerpt, precluding numerical year-over-year calculation. Disclosures indicate 96% of CEO target pay is performance-based and 86% is delivered via long-term equity incentives tied to strategic objectives. Operational performance remained strong in 2025 with record sales of $11.7 billion, 38% growth in diluted EPS, and strong cumulative shareholder return.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/68505/000119312526139004/d50373ddef14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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The bear case

Cost and Tariff Pressure

Management flagged elevated direct material and memory costs plus tariff exposure. Q2 margin got a $60M one-time IEEPA refund benefit that will not repeat.

Government Funding Dependence

A large share of revenue comes from government and public safety budgets. Funding delays, shutdowns, or budget cuts hit orders directly.

Leverage and Fading Buyback

Net debt/EBITDA of 2.12x after the Silvus acquisition, $9.6B of debt, and a buyback program that is 96% complete. Financial engineering capacity is fading.

Insider Selling

Insider disposals by the CEO, CFO, and CTO filed in early 2026. Not dispositive, but notable when the stock trades at a premium valuation.

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The strengths

Operating Quality

Mission-critical LMR duopoly with sticky government contracts and record backlog. Non-GAAP op margins crossed 30% and keep climbing. Software mix shift is structural. Leverage at 2.1x net debt/EBITDA is the one blemish.

Recent Trend

Revenue growth accelerating from 8% to 13.3% YoY with back-to-back guidance raises. Four straight EPS beats. Non-GAAP EPS up 24%, margins expanding even ex-tariff refunds. Textbook execution.

Forward Growth

Record $15.6B backlog converts to revenue. Silvus at $675M and ~20% growth, Command Center at 15% growth, and OBBBA opens a 4-year federal funding channel. High-single-digit growth with margin expansion is credible.

Valuation

DCF base $326.97 implies 32% downside from $480.03. Reverse DCF says the market prices an 11% revenue CAGR, at or above our bull case. Euphoric on our numbers despite a quality business. Terminal value is the Gordon perpetuity alone at 2.25% growth on 2035 free cash flow. The EV/EBITDA exit leg on 2035 EBITDA (16.0x bear, 17.0x base, 18.0x bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $85.6B and the exit leg is $126.8B. At the model's terminal discount rate the exit leg implies 4.23% perpetual growth against the 2.25% assumed, and the growth-consistent exit multiple is 11.5x against the 17.0x used. The present value of terminal value is 60.0% of enterprise value (bear 59.3%, bull 60.7%). The model holds beta static at 0.97 across the horizon with no decay schedule; terminal beta (0.97) and terminal WACC (8.57%) are printed on every scenario tab and in the valuation framework below, and we accept the static beta for a mature, low-beta franchise rather than impose a decay path.

Cascadia scorecard

Composite score 67: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Mission-critical LMR duopoly with sticky government contracts and record backlog. Non-GAAP op margins crossed 30% and keep climbing. Software mix shift is structural. Leverage at 2.1x net debt/EBITDA is the one blemish.	85
Recent Trend	Revenue growth accelerating from 8% to 13.3% YoY with back-to-back guidance raises. Four straight EPS beats. Non-GAAP EPS up 24%, margins expanding even ex-tariff refunds. Textbook execution.	85
Forward Growth	Record $15.6B backlog converts to revenue. Silvus at $675M and ~20% growth, Command Center at 15% growth, and OBBBA opens a 4-year federal funding channel. High-single-digit growth with margin expansion is credible.	75
Valuation	DCF base $326.97 implies 32% downside from $480.03. Reverse DCF says the market prices an 11% revenue CAGR, at or above our bull case. Euphoric on our numbers despite a quality business. Terminal value is the Gordon perpetuity alone at 2.25% growth on 2035 free cash flow. The EV/EBITDA exit leg on 2035 EBITDA (16.0x bear, 17.0x base, 18.0x bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $85.6B and the exit leg is $126.8B. At the model's terminal discount rate the exit leg implies 4.23% perpetual growth against the 2.25% assumed, and the growth-consistent exit multiple is 11.5x against the 17.0x used. The present value of terminal value is 60.0% of enterprise value (bear 59.3%, bull 60.7%). The model holds beta static at 0.97 across the horizon with no decay schedule; terminal beta (0.97) and terminal WACC (8.57%) are printed on every scenario tab and in the valuation framework below, and we accept the static beta for a mature, low-beta franchise rather than impose a decay path.	35
Catalysts & Risk	Q3 earnings Oct 29 with a beat streak behind it. Silvus ramp and OBBBA funding are near-term positives. But the price leaves no room for error: any demand wobble or tariff cost surprise gets punished.	60

Investment view

A Q3 miss or demand softness on Oct 29 would puncture the premium and cut Trend and Valuation further. A sustained Silvus beat plus OBBBA order flow could push growth into the low teens, which would justify part of the multiple.

Investment view: Hold, Valuation Concerns. The $327.99 blended target implies -32%, balancing the $292.27 / $326.97 / $365.74 Bear / Base / Bull outcomes.

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